

25STCV13757 25STCV13757

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-09-21

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Case Number: 25STCV13757 Hearing Date: September 21, 2026 Dept: 11

Hernandez (25STCV13757)

.

Tentative

Ruling Re: Motion to Approve Private Attorneys General Act ("PAGA") Settlement

Date: 9/21/26

Time: 11:00 am

Moving Party: Jeanne

Hernandez ("Plaintiff")

Opposing Party: None

Department: 11

Judge: Bruce Iwasaki

TENTATIVE RULING

The hearing on Plaintiff's motion to
approve PAGA settlement is continued.

Plaintiff is invited at the
hearing to explain how the maximum exposure was derived, or will be granted

leave to file supplemental evidence regarding the gross settlement amount.

The Court approves the amounts for attorney fees, attorney costs, and administration costs and the release.

The incentive award is reduced to
\$5,000.00.

BACKGROUND

This is a wage-and-hour
representative action.

Here, Plaintiff requests approval of the
parties' PAGA-only settlement.

LAW

PAGA permits an "aggrieved employee"
to recover Labor Code civil penalties on the LWDA's behalf, if the LWDA
declines to collect the penalties itself.
(Cal. Lab. Code, § 2699, subd. (a); see also *Mejia v. Merchants
Building Maintenance, LLC* (2019) 38 Cal.App.5th 723, 732-733.) The California Supreme Court has
distinguished between Labor Code "civil penalties" that are "intended to
'punish the employer' for wrongdoing, often 'without reference to the actual
damage sustained'" and "statutory damages" that "primarily seek to compensate
employees for actual losses incurred" – a PAGA action can recover only the
former. (*Z.B., N.A. v. Superior Court*
(2019) 8 Cal.5th 175, 182, 198 [holding that Labor Code section 558 "amount
sufficient to recover unpaid wages" is not a "civil penalty" recoverable via
PAGA].) "A PAGA action is 'fundamentally a law enforcement action designed to
protect the public and not to benefit private parties.'" (*Mejia*, supra, 38 Cal.App.5th
at 732; see also *Iskanian v. CLS Transportation Los Angeles, LLC* (2014)
59 Cal.4th 348, 381.)

PAGA requires a court to "review and
approve any settlement of any civil action filed" under PAGA, but it does not
provide review and approval standards or guidelines. (Cal. Lab. Code, § 2699,
subd. (l)(2).) The California
Supreme Court has interpreted PAGA as requiring courts to ensure that "any

negotiated [PAGA] resolution is fair to those affected.” (Williams v. Superior Court (2017) 3 Cal.5th 531, 549, emphasis added).) The parties affected by a PAGA settlement include: (1) the LWDA, who receives 65% of settlement funds and is “bound by the outcome of the proceeding to adjudicate the employee’s PAGA claim” (Mejia, supra, 38 Cal.App.5th at 732); (2) the aggrieved employees, party and non-party, who receive 35% percent of settlement funds and are, like the LWDA, bound by a PAGA action judgment; (3) plaintiffs’ counsel, who may be awarded reasonable attorney fees and costs; and (4) defendant, who pays the settlement.[1]

Moniz v. Adecco USA, Inc. (2021) 72 Cal.App.5th 56 provides greater detail about the standard courts should apply when evaluating PAGA settlements. The opinion adopts the “fair, reasonable, and adequate” standard used in class settlements.

DISCUSSION

Settlement Terms

Gross settlement amount = \$220,000.00

Attorney fees = \$77,000.00

Attorney costs = \$19,912.25

Administration costs = \$3,009.72

Incentive award = \$7,500.00

Net settlement amount = \$112,578.03

Analysis

Plaintiff’s counsel’s declaration

establishes that, in preparation for mediation, the parties took part in informal discovery. Plaintiff’s counsel used the information to assess the value of the case and associated risks. Plaintiff’s counsel asserts that the gross settlement amount is within a reasonable range, especially considering the defenses Defendant raised, and that the settlement is fair, reasonable, and adequate. (See Kick Decl., ¶¶ 6-15.)

As PAGA necessitates, Plaintiff's counsel submitted a pre-suit notice letter and a copy of the settlement to the LWDA. (See *id.* at ¶ 17, Exs. 2-3; see also Davis Decl., ¶ 2, Ex. 1.)

The Court finds as follows.

Gross Settlement Amount and Net Settlement Amount

Plaintiff's consulting expert calculated Defendant's maximum exposure to be \$733,000.00. (See Kick Decl., ¶ 8.) It is unclear whether the amount involves stacking. (See *ibid.*)

The Court doubts that an award with stacking would be granted.

"Until the employer has been notified that it is violating a Labor Code provision (whether or not the [Labor] Commissioner or court chooses to impose penalties), the employer cannot be presumed to be aware that its continuing underpayment of employees is a 'violation' subject to penalties." (*Bernstein v. Virgin America, Inc.* (9th Cir. 2021) 3 F.4th 1127, 1144.)

There does not appear to be a previous citation by the Labor Commissioner in this case.

Ultimately, the Court needs more information. How the consulting expert arrived at the maximum amount (\$733,000.00) is unexplained. (See Kick Decl., ¶ 8 [declaring that the consulting expert "assessed multiple penalties for the same pay period for the same alleged violations of different Labor Code provisions and derivative violations" but failing to show the math].) And no realistic, discounted exposure amount is provided. The Court grants Plaintiff's counsel leave to submit a supplemental declaration addressing these issues. The hearing is continued for this purpose.

Whether the net settlement amount (\$112,578.03) is fair, reasonable, and adequate

depends on whether the gross settlement amount ends up being found fair, reasonable, and adequate.

Attorney Fees

The amount for attorney fees (\$77,000.00) is fair, reasonable, and adequate. This is a contingency case. (See *id.* at ¶ 19.) In contingency cases in the complex courts, 33% to 35% of the gross recovery is normal.

Attorney Costs

The amount for attorney costs (\$19,912.25) is fair, reasonable, and adequate. It is approximately 9% of the gross settlement amount, and it is within the range that has been approved in other complex cases in Department 11.

The settlement agreement caps attorney costs at \$25,000.00. (See *id.* at Ex. 1, § 3.2.2.) If the costs fail to reach the cap, the Court will award the incurred amount to ensure that additional settlement money goes to the LWDA and aggrieved employees.

Administration Costs

The amount for administration costs (\$3,009.72) is fair, reasonable, and adequate. Like the attorney costs, it is within the range that is typically approved in Department 11.

Incentive Award

The amount for the incentive award (\$7,50.00) is excessive. The Court finds that review of Ms. Hernandez's declaration and the court record reveals no basis for exceeding \$5,000.

Release

The release is fair, reasonable, and adequate. The plain language is appropriately narrow and tailored.[2]

[1] The Legislature has amended PAGA, changing the LWDA's recovery from 75% to 65% and the aggrieved employees' recovery from 25% to 35%. (See Chin, et al., Cal.

Practice Guide: Employment Litigation (The Rutter Group 2025) ¶ 17:830.) The parties must ensure that the settlement complies with these percentages.

[2] The release states:

5. RELEASES OF CLAIMS. Upon approval of the Settlement and full funding of the Gross PAGA Settlement Amount, the State of California, Plaintiff, and PAGA Counsel will release claims against all Released Parties as follows:

5.1 Release by Aggrieved Employees and State of California. All Aggrieved Employees are deemed to release Defendant from all "Released PAGA Claims." "Released PAGA Claims" are all claims, rights, demands, liabilities, and causes of action for PAGA civil penalties alleged or which could reasonably have been alleged in the Action based on the same set of operative facts alleged in Plaintiff's letter to the LWDA and the First Amended Complaint. The Released PAGA Claims are those that accrued during the PAGA Period.

(Id. at Ex. 1, § 5-5.1, bolding and underlining in original.)